

26NNCV00827 26NNCV00827

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Case Number: 26NNCV00827 Hearing Date: September 4, 2026 Dept: A

TENTATIVE RULING

SEPTEMBER 4, 2026

DEMURRERS

Los

Angeles Superior Court Case # 26NNCV00827

MP: (1) Defendant Michelle Li; and (2)

Defendant Transamerica Life Insurance Company

RP: No opposition received

NOTICE:

The

Court is not requesting oral argument on this matter. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at BurDeptA@LACourt.org or by telephone at (818) 260-8412.

ALLEGATIONS:

Yanyan

Wang ("Plaintiff") alleges that she and her husband, Jack Yuan, through Defendant Michelle Li ("Li") entered into a life insurance contract with Transamerica Life Insurance Company ("Transamerica"), such that Mr. Yuan was the insured person and the beneficiaries were Plaintiff and her child Grace Yuan, each entitled to 50% of the death benefits upon Mr. Yuan's death. On February 10, 2024, Plaintiff and Mr. Yuan requested via WeChat that Li change the beneficiary designation such that Plaintiff receive 100% of the death benefits. (Id., ¶10.) In December 2024, the insured Mr. Yuan passed away. (Id., ¶11.) When the death benefits claim was filed with Transamerica, Plaintiff discovered the beneficiary designation had not been properly updated as requested, such that Plaintiff was only awarded 50% of the death benefits and the remaining 50% was paid to Grace Yuan and placed in a restricted account with little to no interest. (Id.) Plaintiff contends that insurer Transamerica and broker Li were responsible for ensuring that the beneficiary change was properly documented and implemented, but that they had failed to do so. (Id., ¶12.)

The Complaint, filed February 5, 2026, alleges: (1) Breach of Insurance Contract; (2) Negligence; (3) Breach of Fiduciary Duty; and (4) Fraudulent Misrepresentation.

MOTIONS ON CALENDAR:

On July 27, 2026, Li filed a Demurrer to the Complaint. On August 3, 2026, Transamerica filed a Demurrer. On August 28, 2026, Defendants each filed a Statement of Non-Opposition to their respective demurrers. The Court is not in receipt of an opposition brief. The Court notes that, pursuant to C.R.C. Rule 8.54(c), a failure to oppose a motion may be deemed consent to its being granted.

LEGAL

STANDARD:

The grounds for a demurrer must appear on the face of the pleading or from judicially noticeable

matters. (C.C.P. § 430.30(a); Blank v. Kirwan (1985) 39 Cal. 3d 311, 318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (Id.)

A demurrer

assumes the truth of all factual, material allegations properly pled in the challenged pleading. (Blank, supra, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (Del E. Webb Corp. v. Structural Materials Co. (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (Blank, supra, 39 Cal. 3d at 318.)

Pursuant to C.C.P.

§§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (Schifando v. City of Los Angeles (2003) 31 Cal. 4th 1074, 1082.)

MEET AND CONFER:

C.C.P. §§ 430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike. Upon review, the Court finds the meet and confer requirements were met. (Hockel Decl. re Li Demurrer, ¶2; Hockel Decl. re Transamerica Demurrer, ¶12.)

REQUEST

FOR JUDICIAL NOTICE:

With

the demurrers, Defendants each requested judicial notice of Exhibits: (A) the docket in case In re G.Y. (Riverside County, Case No. PRMC2501025,

hereinafter the “Riverside Case”); (B) the Petition for Order re Deposit of Money Belonging to a Minor and supporting documents in the Riverside Case, dated October 14, 2025; and (C) the Order for Deposit of Money Belonging to Minor in the Riverside Case, dated November 14, 2025. The requests are granted. (Evid. Code, § 452(d).)

LI’S DEMURRER:

Li demurs to the First to Fourth Causes of Action in the Complaint. Li argues the entirety of the Complaint is barred by judicial estoppel, Plaintiff failed to join an indispensable party, and the Complaint fails to state sufficient facts to constitute causes of action and is uncertain.

A.

Judicial

Estoppel and Uncertainty – Sustained with Leave to Amend

The

Court will address Li’s judicial estoppel argument as a backdrop to show why the Complaint’s allegations are uncertain.

Judicial estoppel

applies when: “(1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (Jackson v. County of Los Angeles (1997) 60 Cal.App.4th 171, 183.) While equitable estoppel prevents a party-opponent from changing positions in which a party detrimentally relied upon an opponent’s prior position, the gravamen of judicial estoppel is the intentional assertion of an inconsistent position that perverts the judicial machinery. (Id.) “[T]he trial court may sustain a demurrer on the ground of judicial estoppel where the facts pleaded and judicially noticed indicate as a matter of law the doctrine should be applied, i.e., that a court has adopted or accepted as true the inconsistent position.” (The Swahn Group, Inc. v. Segal (2010) 183 Cal.App.4th 831, 844; Koo v. Rubio’s Restaurants, Inc. (2003) 109 Cal.App.4th 719, 735 [stating that the party invoking judicial estoppel must show (1) the party against whom estoppel is asserted took an inconsistent position in a prior proceeding and (2) “that the

position was adopted by the first tribunal in some manner such as by rendering a favorable judgment.”].)

First, Li argues

that Plaintiff has taken two inconsistent positions: (1) requesting the court in the Riverside Action to order Transamerica to pay funds belonging to Grace Yuan into a blocked account, but (2) now claiming that the funds should not have been paid into a blocked account for Grace Yuan’s benefit and instead should have been paid to Plaintiff. In

the Petition for Order re Deposit of Money

Belonging to a Minor, Plaintiff requested that \$200,000 in funds be deposited in G.Y.’s name in an interest-bearing, federally insured blocked account, such that no withdrawals of principal or interest shall be made from the blocked account without a written order under that case name and number, signed by a judge, and bearing the seal of the court, until the minor attains the age of 18 years. (Li RJN, Ex. B.) The Riverside Court then entered the Order for Deposit of Money Belonging to Minor, directed Transamerica (Holder of Funds) to disperse the minor’s funds of \$200,000 to Bank of America. (Id., Ex. C.) Differently, in this action, Plaintiff requests that she should have been made the full beneficiary and that 100% of the funds should have gone to her. (See Compl., ¶ 10-11.)

Second, both

positions have been taken in a judicial proceeding—one before the Riverside Court and the other before this Court.

Third, Plaintiff was

successful in asserting the first position, as the Riverside Court adopted her position, granted her petition as requested, and entered the order consistent with her petition by ordering Transamerica to pay the minor’s \$200,000 funds into a blocked account. (See Li RJN, Exs. B-C.)

Fourth, the two

positions are inconsistent as Plaintiff previously requested that Transamerica deposit funds belonging to the minor into a blocked account, but Plaintiff now seeks by way of this action the full funds in her name.

Fifth, Li argues that

Plaintiff’s first position in the Riverside Action was not taken as a result of

ignorance, fraud, or mistake because her petition papers showed her deliberate and straightforward request, which resulted in a final order.

Theoretically, Li has

shown that the five elements of judicial estoppel are present. However, the Court notes that the Complaint does not seek specific performance from Defendants such that they take the money from the minor's account and place it in Plaintiff's account. (If that were the case, then, as stated in the Riverside Court's order, Plaintiff could seek an order from the Riverside

Court to make withdrawals from the minor's blocked account. This is not the relief being sought here. Furthermore, a review of the Complaint shows

that there is no mention of the Riverside Case.) Rather, Plaintiff contends that Defendants breached their contractual and fiduciary duties by failing to make her the 100% beneficiary. Plaintiff "seeks recovery

of the amount of the unpaid insurance benefit, totaling \$200,000" against

Defendants for their failure to make her the sole beneficiary. (Compl., ¶17; Prayer for Relief, ¶1.) Although Plaintiff has not explicitly sought

specific performance, as currently worded, it is unclear whether Plaintiff is seeking the \$200,000 Transamerica deposited in the minor's blocked account pursuant to the Riverside Court's order, or if she is seeking a completely new \$200,000 against Transamerica and Li as the amount she has quantified for breach and negligence.

If the former (i.e.,

Plaintiff seeks the \$200,000 deposited into the minor's account), then Li's argument regarding joinder of an indispensable party pursuant to C.C.P. § 389(a) may have merit. Based on the Court's read of Li's demurrer papers, it appears that Li is arguing from this stance.

However, based on the allegations of the Complaint and the damages sought, it is unclear what relief Plaintiff seeks—whether she is seeking the \$200,000 from the minor's blocked account or a separate \$200,000 due from Defendants as a completely new set of damages.

The demurrer to the

Complaint is sustained with leave to amend due to uncertainty.

B.

First Cause of Action for Breach of

Insurance Contract – Sustained with Leave to Amend

The elements for breach of contract are: "(1) the existence of the contract, (2) plaintiff's

performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

In the First Cause of Action,

Plaintiff alleges that Defendants entered into an insurance contract with Plaintiff, which required Transamerica to provide a death benefit upon the death of the insured, Mr. Yuan. (Compl., ¶14.) Plaintiff and Mr. Yuan requested a change to the beneficiary designation, making Plaintiff the sole beneficiary of the insurance policy but, despite submitting necessary forms through Li, Transamerica failed to update the beneficiary designation, leading to Plaintiff receiving only 50% of the death benefit.

(Id., ¶15.) Plaintiff contends Transamerica breached the insurance contract by failing to properly process the beneficiary change amounts, such that she has suffered damages in the loss of full death benefits and she seeks to recover the \$200,000 unpaid insurance benefits. (Id., ¶¶16-17.)

Li argues that she cannot be liable for breach of an insurance contract because a broker is not considered a party to the policy between the insurer and insured. (Gruenberg v. Aetna Ins. Co. (1973) 9 Cal.3d 566, 576 [finding the employees and agents of the defendant insurers could not be held liable for breach of the implied duty of good faith and fair dealing or for conspiracy, as they were not parties to the insurance agreements].)

To the extent that the Complaint is based solely on an insurance contract, Li’s argument may have merit. However, Plaintiff has not alleged the material terms of the contract at issue, whether there was a separate broker agreement, etc. As currently labeled and framed, it appears that Plaintiff is relying on an “insurance contract” for the First Cause of Action. The Court sustains the demurrer to the First Cause of Action with leave to amend so that Plaintiff can clarify this cause of action and provide additional facts against Li.

C.

Second Cause of Action for Negligence –

Sustained with Leave to Amend

The elements of negligence are “duty, breach of duty, proximate cause, and damages.” (Carlsen v. Koivumaki (2014) 227 Cal.App.4th 879, 892.)

“Insurance brokers owe a limited duty to their clients, which is only to use reasonable care, diligence, and judgment in procuring the insurance requested by an insured. [Citations.] Accordingly, an insurance broker does not breach its duty to clients to procure the requested insurance policy unless (a) the [broker] misrepresents the nature, extent or scope of the coverage being offered or provided ... , (b) there is a request or inquiry by the insured for a particular type or extent of coverage ... , or (c) the [broker] assumes an additional duty by either express agreement or by holding himself out as having expertise in a given field of insurance being sought by the insured. ... [Citation.] California law is well settled as to this limited duty on the part of insurance brokers. [Citations.]” (Mark Tanner Constr. v. Hub Internat. Ins. Servs. (2014) 224 Cal.App.4th 574, 584 [internal quotation marks and citations omitted].)

In the Second Cause of Action, Plaintiff alleges that broker Li owed Plaintiff a duty of care to ensure that the beneficiary change request was properly processed and submitted to Transamerica, and that Li breached this duty by failing to submit the request. (Compl., ¶¶19-20.) Plaintiff cites Insurance Code, § 1738.5(a), alleging that an insurance broker is required to act with reasonable care and diligence in handling insurance matters for clients, but that Li failed to properly administer Plaintiff's request. (Id., ¶21.)

Insurance Code, § 1738.5(a)-(b) states:

Upon the request of the department, a proceeding held pursuant to Section 1668, 1668.5, 1738, 1739, or 12921.8 that involves allegations of misconduct perpetrated against a person age 65 or over shall be held within 90 days after receipt by the department of the notice of defense, unless a continuance of the hearing is granted by the department or the administrative law judge. If the Office of Administrative Hearings cannot accommodate a hearing within 90 days,

the hearing shall be set on the earliest available date and the delay shall not prejudice either party. When the matter has been set for hearing, only the administrative law judge may grant a continuance of the hearing. The administrative law judge may, but need not, grant a continuance of the hearing, only upon finding the existence of one or more of the following:

(a)

The death or incapacitating illness of a party, a representative or attorney of a party, a witness to an essential fact, or of the parent, child, or member of the household of any of these persons, when it is not feasible to substitute another representative, attorney, or witness because of the proximity of the hearing date.

Ins.

Code, § 1738.5

(b)

Lack of notice of hearing as provided in Section 11509 of the Government Code.

(Ins. Code, § 1738.5(a)-(b).)

Although Plaintiff cites section

1738.5, it is unclear what relevance this section has on this action, such as the incapacitating illness of a party. Furthermore, Plaintiff has not alleged a valid basis for brokers like Li to owe a duty to process beneficiary request changes.

The demurrer to the Second Cause of Action is sustained with leave to amend.

D.

Third Cause of Action for Breach of
Fiduciary Duty – Sustained with Leave to Amend

The elements

for breach of fiduciary duty are: (1) the existence of a fiduciary relationship; (2) its breach; and (3) damage proximately caused by that breach. (Roberts v. Lomanto (2003) 112 Cal. App. 4th 1553, 1562.)

In the Third Cause of Action,

Plaintiff alleges that Li had a fiduciary duty to act in Plaintiff's best interest pursuant to Insurance Code, § 1738.5(b), which she breached by failing to submit Plaintiff's beneficiary change request. (Compl., ¶¶24-26.)

For the same reasons discussed above, the Court sustains the demurrer to the Third Cause of Action. Again, Plaintiff's citation to section 1738.5(b) is not relevant to this action, as Plaintiff has not alleged whether she is over 65 years old, whether a hearing for alleged misconduct was sought, she lacked notice of a hearing, etc.

The demurrer to the Third Cause of Action is sustained with leave to amend.

E.

Fourth Cause of Action for Fraudulent Misrepresentation – Sustained with Leave to Amend

The elements for fraud are: (1) a representation, usually of fact, which is false; (2) knowledge of its falsity; (3) intent to defraud; (4) justifiable reliance upon the misrepresentation; and (5) damage resulting from that justifiable reliance.

(Stansfield v. Starkey (1990)

220 Cal. App. 3d 59, 72-73.) This cause of action is a tort of deceit and the facts constituting each element must be alleged with particularity; the claim cannot be saved by referring to the policy favoring liberal construction of pleadings. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 216.) Since the claim must be pleaded with particularity, the cause of action based on misrepresentations must allege facts showing how, when, where, to whom, and by what means the misrepresentations were tendered. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.)

In the Fourth Cause of Action, Plaintiff alleges that Li made false representations to Plaintiff, assuring her that a beneficiary change request would be proceeded, but Li knew or should have known that the representations were false and she made them with the intent to deceive Plaintiff pursuant to Civil Code, § 1572. (Compl., ¶¶29-30, 32.) Plaintiff alleges she reasonably relied on Li's representations and is entitled to damages, including the full insurance benefit, punitive damages, and emotional distress. (Id., ¶¶31, 33.)

Plaintiff's allegations fail to allege the misrepresentation with the requisite specificity, including facts showing how, when, where, to whom, and by what means the misrepresentations were tendered. While Plaintiff alleges that she made a request via WeChat, which was confirmed by both Plaintiff and Mr. Yuan (Compl., ¶10), she does not allege that Li made any response (verbally or in writing) affirming that the change would be made, when she made a representation, etc.

Additionally, the Court notes that Civil Code, § 1572 is regarding actual fraud by a party to the contract with intent to deceive another party or to induce him to enter into a contract. As alleged, it appears that a life insurance policy was already in existence at the time Plaintiff and Mr. Yuan made a beneficiary change request. Thus, it is unclear what fraud Plaintiff is claiming in connection with section 1572 regarding fraudulent inducement to enter a contract – whether this involves the insurance contract or a different unalleged contract.

The demurrer to the Fourth Cause of Action is sustained with leave to amend.

TRANSAMERICA'S DEMURRER:

Transamerica demurs to each cause of action, citing the arguments made in Li's demurrer. Transamerica also argues that the Second to Fourth Causes of Action do not appear to be directed at it.

For the same reasons discussed above, the demurrer is sustained with leave to amend.

With respect to the Second to Fourth Causes of Action, based on the Court's review of the allegations, it appears that no allegations are directed against Transamerica in these claims and are instead directed against Li specifically. Upon amendment, Plaintiff is ordered to comply with CRC Rule 2.112 and list the party or parties to whom each cause of action is directed to clarify whether the Second to Fourth Causes of Action were intended to be directed against Transamerica.

RULING:

In the event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Defendant Michelle Li's
Demurrer and Defendant Transamerica
Life Insurance Company's Demurrer came on
regularly for hearing on September 4, 2026, with appearances/submissions as
noted in the minute order for said hearing, and the court, being fully advised
in the premises, did then and there rule as follows:

DEFENDANT

MICHELLE LI'S DEMURRER TO THE COMPLAINT IS SUSTAINED WITH 30 DAYS' LEAVE TO AMEND.

DEFENDANT

TRANSAMERICA LIFE INSURANCE COMPANY'S DEMURRER TO THE COMPLAINT IS SUSTAINED
WITH 30 DAYS' LEAVE TO AMEND.

UPON AMENDMENT,

PLAINTIFF IS ORDERED TO STATE IN EACH CAUSE OF ACTION THE PARTY OR PARTIES TO
WHOM EACH CAUSE OF ACTION IS DIRECTED, PURSUANT TO CRC RULE 2.112.

EACH

DEFENDANT TO PROVIDE NOTICE OF THEIR RESPECTIVE ORDER.

IT

IS SO ORDERED.